

BEGINNER'S TRADING CHEAT SHEET

First Trade Academy — Step-by-step education for absolute beginners. Print it. Stick it next to your monitor.

Quick-reference card for new traders.

CANDLESTICK PATTERNS



Upper Wick (High)

Body

Lower Wick (Low)

GREEN = Close > Open (UP)

RED = Close < Open (DOWN)

Pattern	Appearance	Signal
Hammer Ø=ßâ	Small body, LONG lower wick (2-3× body)	Reversal at bottom. BULLISH.
Shooting Star Ø=Ý4	Small body, LONG upper wick	Reversal at top. BEARISH.
Engulfing	Body fully covers prior candle body	Strong reversal. Green bottom=up, Red top=down
Doji	Tiny body (Open"HClose), long wicks	INDECISION. Wait for next candle.
3 White Soldiers	3 long green candles, each higher	Strong uptrend. VERY BULLISH.

One candle = clue, not signal. Wait for NEXT candle to confirm before trading.

ORDER TYPES

Order Type	What It Does	Best Used For
Market	Buy/sell NOW at best available price	Fast entries & exits. Use for stop-losses.
Limit	Buy/sell ONLY at your price or better	Control entries when you can wait.
Stop-Loss	If price hits X, sell immediately	USE ON EVERY TRADE. Emergency brake.
Stop-Limit	If price hits X, sell but not below Y	Advanced. May not fill in fast markets.

KEY TERMS

Term	Definition
Bid / Ask / Spread	Bid = max buyers pay. Ask = min sellers accept. Spread = gap between.
Bull / Bear	Bullish = expect UP. Bearish = expect DOWN.
Volatility	How much/fast price moves. High = big swings.
Liquidity	Ease of buy/sell without moving price.
Slippage	Gap between expected & actual fill price. Common w/ market orders.
Support / Resistance	Support = price floor. Resistance = price ceiling.
Trend	Direction: uptrend = higher highs & lows; downtrend = lower highs & lows.
Pullback	Temporary move against main trend.
Breakout	Decisive move above resistance or below support.
Gap	Open far from prior close — price "jump" with no trading between.
PDT Rule	U.S.: accounts <\$25k limited to 3 day-trades per 5 business days.

RISK MANAGEMENT & PRE-TRADE CHECKLIST

POSITION SIZE CALCULATOR

Account × Risk%
Position Size (shares) = % % % % % % % % % % % % % % % %
Stop-Loss Distance

Worked Examples

Account	Risk%	\$ Risk	Entry	Stop	Dist.	Shares
\$500	1%	\$5.00	\$50.00	\$49.50	\$0.50	10
\$1,000	1%	\$10.00	\$100.00	\$99.00	\$1.00	10
\$1,000	2%	\$20.00	\$25.00	\$24.50	\$0.50	40
\$5,000	1%	\$50.00	\$200.00	\$198.00	\$2.00	25

Mental Math (3 Steps)

- Dollar risk: Account × Risk% !' e.g., \$1,000 × 1% = \$10
- Stop distance: Entry " Stop !' e.g., \$100 " \$99 = \$1
- Divide: \$10 ÷ \$1 = 10 shares. Done.

RISK-TO-REWARD TARGET

Always aim for at least 1:2 Risk-to-Reward
Risk \$10 !' Target \$20+ | Risk \$20 !' Target \$40+

Win Rate	At 1:1 R:R	At 1:2 R:R
30%	Lose money	Break even
40%	Lose money	Profitable '
50%	Break even	Profitable ''

PRE-TRADE CHECKLIST

- Run through EVERY item before every trade. No exceptions.
- ☐ 1. CLEAR TREND? — Which direction on 5-min & 15-min charts? Trade WITH the trend.
 - ☐ 2. MY SETUP? — Can you NAME the pattern? If not, don't take the trade.
 - ☐ 3. STOP-LOSS SET? — Exact price BEFORE entry. Write it down. No exceptions.
 - ☐ 4. POSITION SIZE? — Shares = (Account × Risk%) ÷ Stop distance. Run the formula.
 - ☐ 5. R:R "e 1:2? — Potential profit at least 2× your risk? If not, skip.
 - ☐ 6. RIGHT HEADSPACE? — Calm and focused? If tired/angry/anxious, walk away.
 - ☐ 7. EXIT PLAN? — Know profit target AND stop-loss BEFORE clicking "buy."

Ø=pÑ If ANY checklist item is a "no," DO NOT TRADE. A missed trade costs \$0. A bad trade costs real money.